

Airbnb

NASDAQ : ABNB · \$108.44B mkt cap · 650M sh · \$9.5B cash, zero debt · ~\$9.5B net cash; ~650M diluted shares; ~\$3.8B/yr buyback offsets SBC; Mature-Company Revenue \$12.24B FY25 (+10%, decel from +40%); 38% FCF margin, \$4.6B FCF; ~15x EV/FCF; Experiences/Services relaunch (2025) DCF the swing optionality

\$166.84

THE CENTRAL QUESTION

Does Airbnb's ~15x EV/FCF fairly price a decelerating but FCF-gushing travel network — or is the Experiences/Services optionality + international runway underpriced?

Airbnb trades at ~\$79B (~\$133/sh) — ~15x EV/FCF on a \$4.6B-FCF, 38%-margin two-sided travel network with ~\$9.5B net cash. Growth has decelerated (+40%→+10%, guided low-mid-teens) and regulation (Barcelona, NYC) caps dense-urban supply. The mature DCF asks whether the verb-grade brand + network defend the FCF and whether Experiences/Services + international re-accelerate growth. The finding: at ~15x FCF for this quality the modal case implies modest undervaluation — the premium-to-Booking is on P/E, not on the cash flow the DCF values.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$183.95
expected fair value today
+10.3% vs spot \$166.84

FORWARD COMPOUNDED VALUE

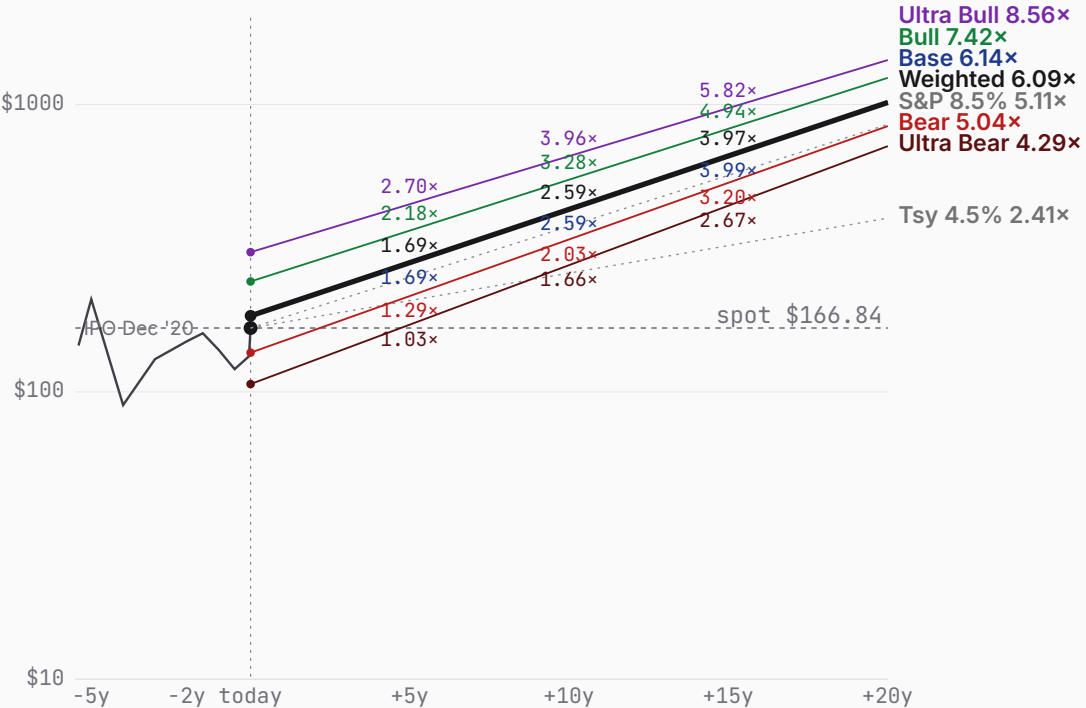
+5y	+10y	+15y	+20y
\$281.78	\$431.91	\$662.45	\$1,016.71
1.69× spot	2.59× spot	3.97× spot	6.09× spot

WEIGHTING RATIONALE

Ultra Bear 12% Regulation + maturation; ~\$106 (~20%).
Bear 25% High-single growth; regulation; ~\$137 (+3%).
Base 35% Low-mid-teens; Experiences ramps; ~\$183 (+37%).
Bull 20% Experiences/intl re-accel; ~\$242 (+82%).
Ultra Bull 8% End-to-end travel hub; ~\$306 (+130%).

Bull (20%) + Ultra Bull (8%) together contribute \$72.96 — 40% of the \$183.95 expected value despite 28% combined probability. Today's spot (\$166.84) sits 9% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$106.48	BEAR	\$136.97	BASE	\$182.78	BULL	\$242.25	ULTRA BULL	\$306.35
	-36.2% vs spot		-17.9% vs spot		+9.6% vs spot		+45.2% vs spot		+83.6% vs spot
CAGR +3.4% WACC 10.0% CAGR +3.4% Prob 12%		CAGR +6.2% WACC 9.5% CAGR +6.2% Prob 25%		CAGR +9.8% WACC 9.0% CAGR +9.8% Prob 35%		CAGR +12.4% WACC 8.5% CAGR +12.4% Prob 20%		CAGR +15.2% WACC 8.0% CAGR +15.2% Prob 8%	
Regulation + maturation; growth stalls.		Decelerates to high-single; regulation bites.		Low-mid-teens growth; Experiences ramps.		Experiences/Services + international re-accel.		End-to-end travel hub; AI concierge.	

PROBABILITY WEIGHTS

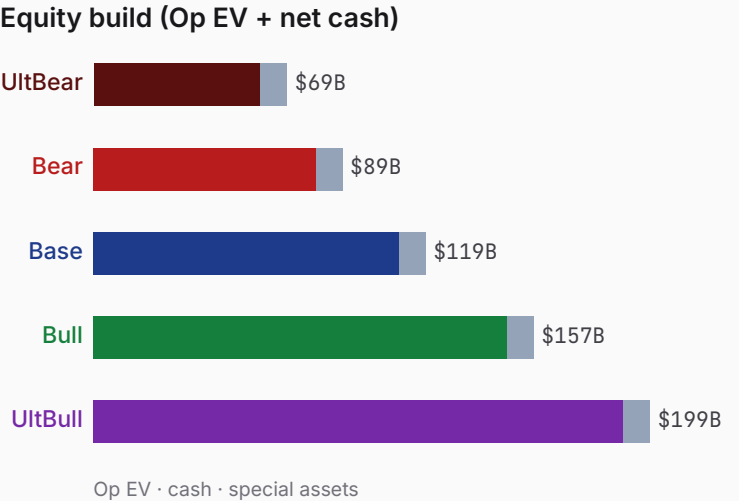
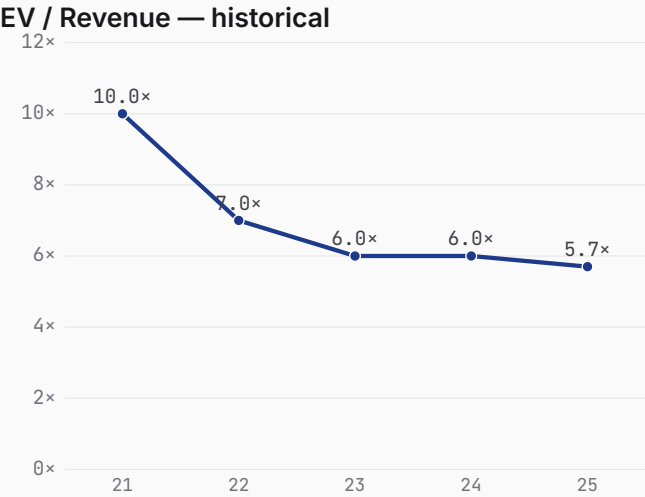
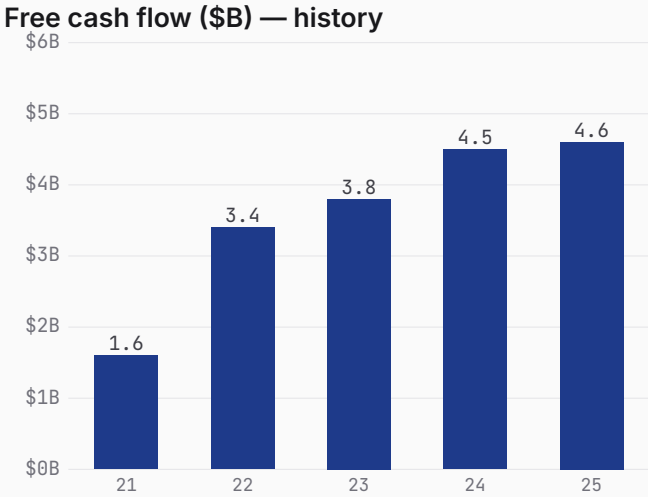
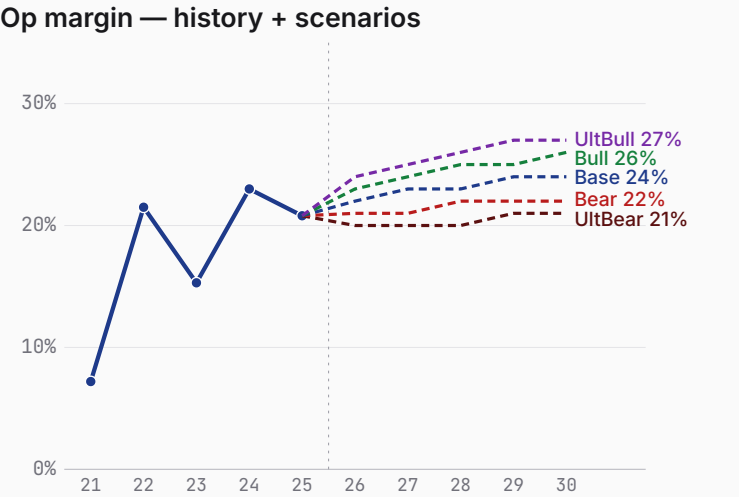
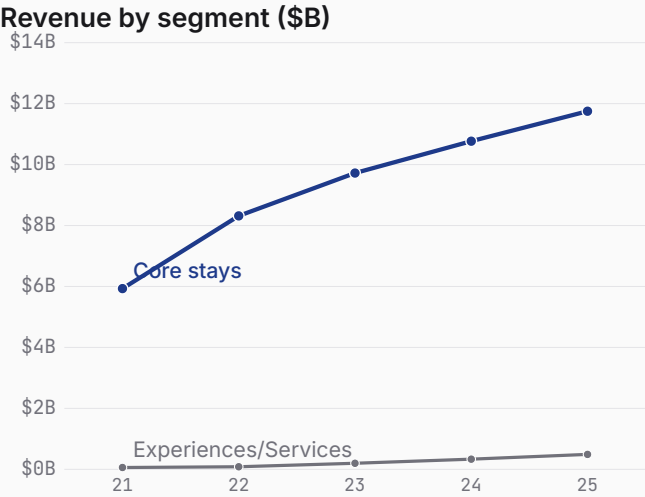
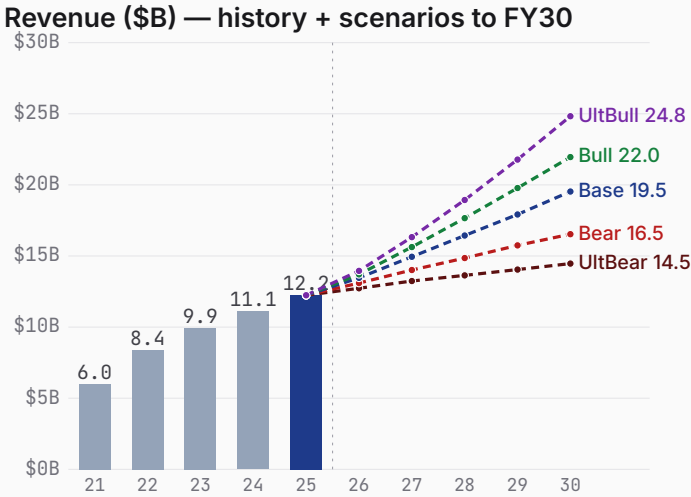
Ultra Bear 12% Bear 25% Base 35% Bull 20% Ultra Bull 8% · Weighted expected \$183.95 (+10.3% vs spot)

ULTRA BEAR	\$106.48	BEAR	\$136.97	BASE	\$182.78	BULL	\$242.25	ULTRA BULL	\$306.35
	-36.2% vs spot		-17.9% vs spot		+9.6% vs spot		+45.2% vs spot		+83.6% vs spot
Probability 12%		Probability 25%		Probability 35%		Probability 20%		Probability 8%	
Regulation + maturation; growth stalls.		Decelerates to high-single; regulation bites.		Low-mid-teens growth; Experiences ramps.		Experiences/Services + international re-accel.		End-to-end travel hub; AI concierge.	
WHY 12%		WHY 25%		WHY 35%		WHY 20%		WHY 8%	
Regulation is the structural bear: NYC listings fell ~92%, Spain fined Airbnb EUR65M. 12% weight on bans + maturation capping the network.		The law-of-large-numbers + Booking competition path. 25% weight — a very plausible 'matures gracefully' outcome.		Requires the guided low-mid-teens growth + modest Experiences/Services monetization. 35% as the central outcome — the network + brand are genuinely durable.		Experiences/Services monetizes into a needle-mover + international compounds. ~20%; the relaunch is early but credible.		The full 'Airbnb everything' hub + AI concierge. ~8%, the asymmetric upside the Experiences/Services bet is really for.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
City STR bans spread (Barcelona's 2028 phase-out as the template), growth decays toward GDP-plus, and Experiences/Services never monetizes. Revenue grows only ~3%; the premium multiple de-rates toward Booking's.		Growth settles in the high-single digits as Booking out-executes in alternative accommodations and regulation nibbles supply; FCF margin holds ~37%.		The modal path: revenue compounds low-mid-teens (the 2026 guide), Experiences/Services begins to monetize, and international under-penetration carries the network at a 38-39% FCF margin.		Experiences/Services becomes a real second leg, international scales, and AI-driven conversion lifts the take rate — revenue re-accelerates to the mid-teens at a 40% FCF margin.		Airbnb becomes an end-to-end travel/lifestyle platform (homes + services + experiences + AI concierge), expanding TAM well beyond rentals at peak network margins.	
DCF ~\$106 (~20%) — a great FCF machine, but priced for the growth it has stopped delivering.		DCF ~\$137 (+3%) — roughly fair; the network defends the cash even as growth matures.		DCF ~\$183 (+37%). A verb-grade FCF machine at ~15x FCF is mispriced for this quality if growth holds in the teens.		DCF ~\$242 (+82%) — the optionality the relaunch is buying actually pays off.		DCF ~\$306 (+130%) — the platform vision fully realized; ~8% probability.	

Airbnb business snapshot

Bear \$136.97 Base \$182.78 Bull \$242.25

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 10-K (Feb'26)



Sources: Airbnb FY2025 10-K (revenue \$12.24B, FCF \$4.6B/38%, ~\$9.5B net cash, GBV \$91.3B), Q1'26 results. Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin (use ~38% structural, not the seasonal Q1 64%); Gordon terminal. EV/FCF vs Booking/Expedia.

Airbnb 7 Powers · the moat, scored

Bear \$136.97 Base \$182.78 Bull \$242.25

Arena. Travel / lodging + experiences — Airbnb (two-sided STR marketplace, ~8M listings, verb-grade brand) vs Booking, Expedia/Vrbo, Google Travel, hotels; defending a network + brand Power as growth matures and regulation tightens.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies 	Fixed platform/trust-&-safety/marketing spread over \$91B GBV → best-in-class ~38% FCF margin.
Network Economies · thesis leans here 	The dominant Power: two-sided host↔guest density; more hosts → more guests → more hosts.
Counter-Positioning 	Was the disruptor vs hotels; incumbents (Booking, Vrbo) have matched the STR model.
Switching Costs 	Weak-medium: hosts multi-list; guests are promiscuous.
Branding 	'Airbnb' is a verb; direct-traffic advantage lowers CAC vs OTAs — durable demand-side Power.
Cornered Resource 	No durable exclusive asset; supply is replicable.
Process Power 	Matching/pricing/trust-and-safety execution at scale.

PEER SET

Booking Holdings Larger GBV; pushing into alternative accommodations (>8M listings, growing faster than ABNB there).	13% gr · 36% mgn · ~15.6x P/E
Expedia / Vrbo #3 OTA; Vrbo the direct STR competitor.	6% gr · 15% mgn · ~11.8x P/E
Google Travel Disintermediation risk at the search layer.	· n/a
Hotels / chains Direct booking + loyalty; the alternative for urban stays.	5% gr · varies

THREAT VECTORS · FALSIFIERS

- Network Economies · Booking in alternative accommodations
falsifier: Booking out-grows ABNB in alt-accommodations bookings for 2+ years.
- Branding · Google Travel disintermediation
falsifier: Paid-search dependence rises and direct-traffic share falls.
- Scale Economies · STR regulation
falsifier: A flagship metro structurally bans STRs, or registration regimes materially shrink supply.

COMPETITIVE READ

Airbnb's network-economies + verb-grade brand are genuinely durable on the demand side (direct traffic, two-sided liquidity), and the ~38% FCF margin is best-in-class. The terminal-value debate is not a competitor out-networking them — it's regulation (dense-urban supply caps) + growth maturation. At ~15x EV/FCF the cash flow is priced cheaply for the quality; the Experiences/Services relaunch is the unpaid-for optionality, and the sign hinges on whether growth holds in the teens or decays to GDP-plus.

Airbnb show your work

Bear \$136.97 Base \$182.78 Bull \$242.25 · Weighted \$183.95 (+10.3%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$106.48					\$136.97					\$182.78					\$242.25					\$306.35				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+3.4					+6.2					+9.8					+12.4				
Year-5 op margin (%)					21.0					22.0					24.0					26.0				
WACC (%)					10.0					9.5					9.0					8.5				
Terminal growth (%)					2.0					2.5					3.0					3.5				
Terminal FCF (\$B)					\$5.21B					\$6.28B					\$7.62B					\$8.78B				
Starting revenue (\$B)					12.24					12.24					12.24					12.24				
Scenario probability (%)					12					25					35					20				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	12.73	+20%	+4.58	+4.17	FY26	13.10	+21%	+4.85	+4.43	FY26	13.46	+22%	+5.12	+4.69	FY26	13.71	+23%	+5.21	+4.80	FY26	13.95	+24%	+5.44	+5.04
FY27	13.24	+20%	+4.77	+3.94	FY27	14.01	+21%	+5.18	+4.32	FY27	14.95	+23%	+5.68	+4.78	FY27	15.63	+24%	+6.09	+5.18	FY27	16.33	+25%	+6.53	+5.60
FY28	13.64	+20%	+4.91	+3.69	FY28	14.85	+22%	+5.50	+4.19	FY28	16.44	+23%	+6.41	+4.95	FY28	17.66	+25%	+7.06	+5.53	FY28	18.94	+26%	+7.76	+6.16
FY29	14.05	+21%	+5.06	+3.45	FY29	15.75	+22%	+5.98	+4.16	FY29	17.92	+24%	+6.99	+4.95	FY29	19.78	+25%	+7.91	+5.71	FY29	21.78	+27%	+8.93	+6.56
FY30	14.47	+21%	+5.21	+3.23	FY30	16.53	+22%	+6.28	+3.99	FY30	19.53	+24%	+7.62	+4.95	FY30	21.95	+26%	+8.78	+5.84	FY30	24.83	+27%	+10.18	+6.93
Σ PV explicit FCF					+18.48					+21.09					+27.06					+30.29				
+ PV terminal (g 2.0%)					41.23					84.98					120.90					159.34				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$59.71B					\$79.53B					\$109.31B					\$147.96B				
+ Cash & investments					\$9.50B					\$9.50B					\$9.50B					\$9.50B				
= Equity value					\$69.21B					\$89.03B					\$118.81B					\$157.46B				
FY30 shares (M)					650					650					650					650				
= Expected per share					\$106.48					\$136.97					\$182.78					\$242.25				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$171.49	\$276.18	\$444.79	\$716.34		\$215.62	\$339.44	\$534.36	\$841.22		\$281.23	\$432.71	\$665.77	\$1,024.37		\$364.26	\$547.72	\$823.59	\$1,238.39		\$450.13	\$661.39	\$971.79	\$1,427.88	
1.03×	1.66×	2.67×	4.29×		1.29×	2.03×	3.20×	5.04×		1.69×	2.59×	3.99×	6.14×		2.18×	3.28×	4.94×	7.42×		2.70×	3.96×	5.82×	8.56×	



Airbnb People · Opportunity · Context · Deal

Bear \$136.97 Base \$182.78 Bull \$242.25

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Brian Chesky · founder-led 17 yrs in seat

13.7% HIGH
insider ownership key-person risk

Capital allocation (realized)
Disciplined capital return + organic build: FY2024 buybacks ~\$3.4B, a fresh \$6B authorization (~\$6.6B remaining) steadily cutting the share count, against ~\$2.1B product-development reinvestment. Build-not-buy (no transformative M&A); no dividend. SBC ~\$1.4B partly offsets the buyback.

Incentive alignment
\$1 salary, no cash bonus; paid via a 2020 ten-year performance RSU (~12M units) that vests only against escalating share-price hurdles (Tranche 2 vested Nov 2024). Chesky has pledged to donate the net proceeds of his CEO equity to charity.

GOVERNANCE FLAGS

- multi-class super-voting (Class B = 20 votes) → founder bloc ~79% voting control (binding agreement)
- CEO + Chairman combined (lead independent director) fully-independent board committees; classified board
- sunset: Class B converts by 2040 (or 9 months after a founder's death / disability)

PEOPLE READ

Founder-CEO on a \$1 salary, paid only if the stock clears price hurdles, returning capital through large buybacks — strong alignment and capital discipline, with a 2040 sunset on the control. The offset is a ~79% founder voting bloc + combined CEO/Chair concentrating control well above the ~14% economic stake.

THE FOUR LEGS

People observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator (ABNB 6.17)

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the +38% finding), then position-sized.

Airbnb supporting analysis · disclaimers · glossary

Bear \$136.97 Base \$182.78 Bull \$242.25

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

~15x EV/FCF, 38% FCF margin.
A verb-grade two-sided network throwing off \$4.6B FCF at a 38% margin — priced like a maturing OTA, not a durable platform.
- 2

\$9.5B net cash, working-capital-positive.
Guest pre-payments fund the float → structurally high FCF conversion; fortress balance sheet, ~\$3.8B/yr buyback.
- 3

Network economies + a verb brand.
'Airbnb' is the default for alternative accommodations; direct traffic lowers CAC vs OTAs — the two-sided liquidity moat.
- 4

Experiences/Services optionality is free.
The 2025 relaunch expands TAM beyond rentals; unmonetized today, so any traction is upside the multiple doesn't pay for.
- 5

International under-penetrated.
Latin America / Asia-Pacific grow faster than core — a multi-year runway the US-centric view misses.

FALSIFICATION TRIGGERS

Bull validation revenue re-accelerates to mid-teens · Experiences/Services monetizes into a reported needle-mover · take rate rises · international outgrows core	Bear validation growth decays to high-single · major-metro bans spread · Booking out-grows ABNB in alternative accommodations · multiple de-rates toward peers	Reframe needed if a flagship market structurally bans STRs or Google disintermediates search, re-rate the network durability + terminal multiple
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GBV / take rate — Gross booking value (~\$91B FY25) x ~13.4% take = revenue; the two metrics that drive the model.	Network economies — Helmer Power: more hosts → more guests → more hosts; the two-sided liquidity flywheel that is Airbnb's core moat.	Experiences / Services — The 2025 relaunch (locally-hosted activities + in-stay services); the TAM-expanding optionality, unmonetized today.
FCF margin — Free cash flow / revenue (~38% structural; ignore the seasonal Q1 ~64% float build) — the mature-DCF lever.	STR regulation — Short-term-rental bans/registration (Barcelona 2028 phase-out, NYC -92%) — the structural cap on dense-urban supply.	